

There was minimal awareness of these direct schemes in the investing community because it was against the interest of the fund-house-distributor nexus to market these schemes. In fact, most of the fund houses never launched the direct option for their popular schemes.

Then, in 2013, SEBI mandated that all mutual funds had to have a direct option for all schemes. This meant that an investor now did not have to limit his/her investment universe if they wanted to go direct.

Direct plans are much cheaper, by 0.5 to 1 per cent per annum in equity and 0.05 to 0.5 per cent per annum in debt. These fees were almost half the expenses charged by conventional mutual funds, which remain in the vicinity of 2 to 2.5 per cent in equity and 0.5 to 2.25 per cent in debt. The difference in fees is obviously due to the distributor or broker being disintermediated by direct schemes.

The results have been game-changing (see [Exhibit 28](#)) and SEBI deserves a lot of credit for that. Already, 38 per cent of the industry's Rs 20 lakh crore of assets under management is in direct code (June 2017). The effect of direct schemes has been most pronounced in debt funds¹⁵ with 61 per cent of assets under management now under direct code. In equity funds,¹⁶ 13 per cent of assets under management are now under direct code. These numbers will keep rising as the trend towards direct is now irreversible. Given the limited value addition from distributors in mutual funds, investors are increasingly choosing the direct schemes.